

Advisors need to be aware of how they ask questions. It does matter!

DIAGNOSTIC TESTING

These questions are designed to detect signs of cognitive bias stemming from framing. Instead of one test, however, this section contains two shorter tests designed to be taken in tandem. Would you respond differently to the same dilemma if its framing were altered? Answer the following items and find out.

Framing Bias Mini-Test 1

Question 1: Suppose that you have the opportunity to invest in a mutual fund called MicroTrend. Over the past 10 years, MicroTrend has had an average annual return of 6 percent, with a standard deviation of 10 percent. So if MicroTrend continues to perform consistently, you can expect two-thirds of all returns to fall between -4 percent and 16 percent. How comfortable would you feel about investing in MicroTrend?

- a. Comfortable
- b. Somewhat comfortable
- c. Uncomfortable

Question 2: Suppose that you have the opportunity to invest in a fund called MicroTrend. Over the past 10 years, MicroTrend has had an average annual return of 6 percent, with a standard deviation of 10 percent. So if MicroTrend continues to perform consistently, you can expect 95 percent of all returns to fall between -14 percent and 26 percent. How comfortable would you feel about investing in MicroTrend?

- a. Comfortable
- b. Somewhat comfortable
- c. Uncomfortable

Framing Bias Mini-Test 2

Question 1: Suppose you are preparing for retirement. You need \$50,000 annually to live comfortably, but you could take care of basic needs at about \$40,000 and could even survive on a minimum of \$30,000 if necessary. Further assume that there is no inflation. Now, imagine that you are choosing between two